Atharva Bisht Class Period: 6

Social Media: How a Simple Innovation has Permanently Changed Economy

AP Seminar

2023

Word Count: 1320

Introduction

"As part of a budding $8-billion industry, kidfluencers make money both from companies that pay for the children to advertise their products and from social media platforms that sell advertisement space on kidfluencers' channels" (Masterson, 2021). As social media grows and influences the economy more, the downsides and benefits are seen easily. In 2017, peer-reviewed research from Morales and Farias, both holding high levels of doctoral degrees in business, and Sosa-fey, the associate dean at Texas A&M College of Business, discussed whether the downsides of social media are outweighed by its positives. The research described how media such as CNN and BBC are very active on social media, reaching millions of viewers daily, and how a negative news story about a company can severely damage its reputation permanently. At the same time, a 2018 research study from Singh, holder of a Ph.D. in business administration, & Singh, holder of an MBA in business, argues that "Social media has played an influential role in reaching consumers and providing vital information for marketers [, as] It motivates consumers to connect and create content for the brands". When analyzing how social media affects the economy, we must decide how the negatives and positives can both be altered to give a better, more profitable way for businesses and the economy to grow.

The Reach of Social Media

As social media has become more popular, it has helped more people connect. This has impacted businesses in both positive and negative ways. The ability to leave negative reviews changes many consumers' ideas of a company, ultimately causing them to not buy products. In 2023, a peer-reviewed research study by Fayvishenko, Cherniavska, Bondarenko, Sashchuk, Sypchenko, and Lebid, who all have PHDs in business, explored how a user's behavior on social media about a company's actions can affect a company negatively as it brings attention to negative feedback to potential customers, causing them to refuse to buy products. This is also supported by Morales et al. (2017) who described how "negative comments spread more quickly than positive ones resulting in a loss of customers, damage to the brand, and loss of market share to competitors". These two sources help signify how negative comments have caused a decline in companies' profits as consumers lose trust. The loss of trust in consumers has caused them to turn and look at competitors for alternate solutions. At the same time, another peer-reviewed study in 2022 by Karunarathne, a professor and head of the department, and Thilini, holder of a bachelor's in commerce, believed that social media would benefit businesses. The research concluded that social media has helped small business owners to start businesses from home with low capital and still compete in areas dominated by bigger businesses. Due to the inexpensive way of gaining customers, "social media marketing has become one of the most profitable advertising sources for companies" (Karunarathne & Thilini 2022). These sources contradict the negatives as they help signify how small businesses can grow and develop due to there being inexpensive ways of advertising your business and getting more consumers.

Social Media's Effects on the Stock Market

As social media has let people communicate with each other, they can communicate about stocks and affect them to a higher extent. A peer-reviewed study from Jufang in 2021 researched the negatives of this topic. He described how social media has a huge correlation with stock price fluctuation risk and how it is being increased due to media sentiment tendency and intensity. This source signifies the positive correlation between social media and the stock market as social media has caused the stock market to fluctuate randomly, which can cause multiple problems to the economy as it can contribute to the stock market crash. However, sometimes these fluctuations caused by social media can be used to benefit companies as they can manipulate it for their own good. A research study in 2012 by Yong, Keung, and Mak, all having Ph. D.s in business, with Yong having multiple awards, explores the use of social media for the stock market. This peer-reviewed research showed an example of how Netflix's tweet about crossing 1 billion viewing hours, without the usage of firm disclosures, caused its share price to increase by 6.2% after a few hours, and 13.4% by the next trading day. This research helps signify how companies can manipulate stock market fluctuations to benefit themselves and gain investors, while showing the risks of firm disclosures. These are good as they help grow the economy as more people invest, giving companies funds to grow and develop, while helping stock prices rise, making people richer.

Social Media's Effects on a Professional Workplace

Social media has been seen negatively by many businesses as it has been viewed as a thing that can decrease productivity. This has been further supported by a 2019 peer-reviewed study in Harare where Wushe and Shenje, holders of an honor bachelor in economics and master in science in strategic management, explored the topic of how social media affects workplace productivity. They discovered that the forms of social media where you would keep in touch with friends or share pictures would be negative to productivity. However, they also realized that social media like Linkedin has helped with employee productivity. As social media gets more and more incorporated into our lives, we see it interfering with much of our daily work, as it is seen impacting our productivity in a professional environment. To add to that, another peer-reviewed research by Zhang, Wang, who owns many awards and high positions in jobs, and Chen, continues to signify how “work-related social media usage can promote employee creativity by facilitating their knowledge sharing behavior. Organizations should be aware of [how] social media provides a platform for employees to access information and knowledge”. This helps also show how not all forms of social media are negative as some social media platforms like LinkedIn or other work-related social media platforms can help boost productivity and creativity, along with creating positive relationships in a professional environment.

Using Social Media Effectively

Even though social media has its negative effects, there are ways to regulate or fix it. When discussing the topic of negative comments, Morales et al. 2017 research study describes how businesses can “be aware of such incidents so any negative issues can be resolved before they intensify. In addition, whether the issue involves negative customer service or defective products, knowing about customer complaints can help the business correct systemic and employee problems”. When dealing with fake news, businesses can try to “be transparent to avoid rumors”. The limitation of this is that the business loses much of its privacy as they have to be transparent about a multitude of operations or they have to be constantly scouring the internet for reviews which can either be helpful or useless. When it comes to stocks, businesses must limit how much they disclose on social media when it comes to firm material disclosures, even though it reduces transparency. However, Yong et al (2017) explains how it helps investors not be “more nervous about the increased litigation risks that come with increased social media disclosures [, with examples of how] firms already active on Twitter with financial disclosures suffered a significantly negative abnormal return [in stock prices]”. Lastly, businesses must realize that the "use of social media at the workplace cannot be stopped in the present day but can only be managed to yield positive employee productivity" and instead, businesses should have "regulations to ensure that time spent on social media during working hours is beneficial." (Wushe & Shenje, 2019). An issue can be how many people may view this as oppressive or it may not be very efficient as businesses might have problems enforcing and regulating social media as there are multiple ways to bypass security measures.

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